

CHAPTER 2: NSE AND BSE

This chapter covers all basic about stock market.

HISTORY OF INDIAN MARKET

People buy goods and services in a place called market. However, when the people need to trade in stocks, shares, debentures etc. there is a specific place where one needs to go. One cannot deal with these items in a normal market place. Thus a place or a platform where the trading of these shares and stocks takes place is known as the STOCK MARKET. The price of these shares and stocks is not considered by monopoly; rather it is the demand and supply forces of the market that determines the prices of these shares and stocks.

In earlier times, the trading, that is, the buying and selling of shares and stocks takes place at a particular place known as stock exchange. Thus, the person needs to go at that particular platform if he or she needs to trade in the shares. However with the advancement of technology, this process has almost become redundant. Now, the trading of shares and stock can take place electronically. There is a tremendous reduction of paperwork as everything has gone online.

Origin of the Indian Stock Market